

Higher inflation is limiting economic activity

- **Key changes:** Eurozone GDP declined by 0.2% q/q in Q1 2026 due mainly to a significant contraction in Irish GDP. This mechanically reduced our Eurozone GDP growth forecast for this year by 0.3ppts to 0.4%, but we've raised our projection for 2027 by 0.1ppt to 1.5%. Inflation rose to 3.2% in May and is expected to remain above 3% for the rest of this year. We think the European Central Bank will hike rates in June and July to keep inflation expectations in check.
- **Short-term forecast:** The latest indicators suggest activity in Q2 has been weak. We think Eurozone GDP excluding Ireland has stagnated in Q2, while the overall figure has benefitted from the recovery in Ireland. Retail sales fell 0.4% m/m in April, and the May PMIs remained in contraction territory. The main near-term hit to households will be higher energy prices weighing on real incomes, confidence, and spending. Energy inflation should peak in Q3, but second-round effects from higher energy prices and supply-chain disruption will keep core and food price pressures elevated.
- **What to watch out for:** The key risk is the duration and intensity of the US/Israel war with Iran and its impact on energy markets. A prolonged disruption of shipping through the Strait of Hormuz would result in a larger revision to our forecast for commodities prices and would further increase inflation and reduce activity. Survey data will be crucial in judging whether the Eurozone will contract in Q2 and Q3. The Economic Sentiment Indicator stabilised in May, after April's plunge, but remains well below its long-run average, pointing to a very subdued economic momentum.

Table 1: Eurozone forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	0.6	0.9	1.5	0.4	1.5	1.7
Private consumption	0.6	1.3	1.5	0.8	1.4	1.9
Exports of goods and services	-1.0	0.6	2.2	-0.2	1.5	1.7
Imports of goods and services	-1.8	-0.1	3.6	1.3	1.4	2.1
Industrial production	-1.7	-3.0	1.5	-0.1	2.3	2.2
Employment	1.5	1.0	0.8	0.5	0.4	0.3
Unemployment rate (%)	6.5	6.4	6.3	6.3	6.2	6.0
Government balance (% of GDP)	-3.5	-3.0	-2.9	-3.2	-3.1	-3.1
Current a/c balance (% of GDP)	1.7	2.7	1.7	1.6	1.8	1.8
Consumer prices	5.4	2.4	2.1	3.0	2.1	1.9
Bank's deposit rate (% EOP)	4.0	3.0	2.0	2.5	2.0	2.0
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

Baseline forecast

Recent developments

Eurozone GDP contracted by 0.2% q/q in Q1 2026 due to a significant reduction in Irish GDP. Excluding Ireland, the economy expanded by 0.3%. France was the only one of the four big economies to contract in Q1. Government consumption was one of the main drivers of activity, with private consumption rising by only 0.2% and fixed investment contracting slightly. Activity was also likely boosted temporarily by inventory frontloading as firms got ahead of supply disruptions, alongside higher defence spending.

The impact of the Middle East shock is now becoming more visible in both soft and hard data. The Economic Sentiment Indicator edged up by just 0.3pts to 93.5 in May after a sharp fall in April, leaving it well below its long-run average. The PMIs tell a similar story: the composite index fell to 48.8 in April and remained in contraction territory at 48.5 in May. Services activity remained weak across most major economies, while manufacturing resilience appears partly driven by temporary stockpiling and longer delivery times.

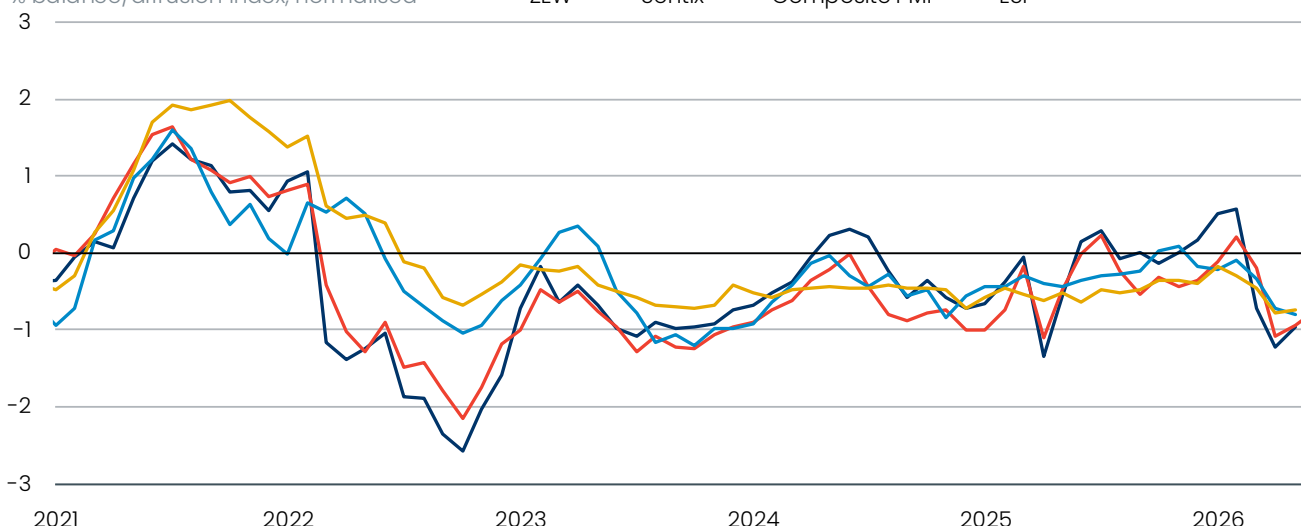
Hard data are also starting to show the effect of the shock. Eurozone retail sales fell by 0.4% m/m in April, one of the first indications that higher energy prices and weaker confidence are weighing on households.

Inflation has risen sharply. Headline inflation reached 3% in April and accelerated further to 3.2% in May, up from below 2% in February, thereby reaching the highest rate since late 2023. Energy inflation remained in double digits at 10.9% y/y. Core inflation eased to 2.2% in April due to an earlier Easter, but reversed course in May by picking up to 2.5%, led by a jump in services inflation to 3.5%. Food inflation eased to 2% in May, but we expect renewed upward pressure later in the year if disruptions to fertiliser supplies persist. At the country level, inflation was above 3% in Italy and Spain in May. Inflation in Germany moderated to 2.6%, while the rate in France ticked up to 2.4%.

Chart 1: Surveys suggest economic momentum in the Eurozone is subdued

Eurozone: Key surveys

% balance/diffusion index, normalised



Sources: Oxford Economics, Haver Analytics, S&P Global

Short-term forecast

We expect growth to remain weak in the near term. We forecast Eurozone GDP will grow by 0.4% in 2026, followed by 1.5% in 2027. The initial impact of the shock will be mainly felt by consumers, as higher energy prices reduce real

incomes and weigh on confidence. Private consumption is forecast to grow by only 0.8% this year, before recovering to 1.4% in 2027. The short-term outlook is particularly uncertain. Surveys suggest economic activity is weak, and the services sector appears to be absorbing most of the initial hit. Retail sales fell in April, and consumer spending is expected to marginally contract in Q2. We expect weak growth, but risks are clearly tilted to the downside if the conflict and energy-market disruption persist.

Policy assumptions

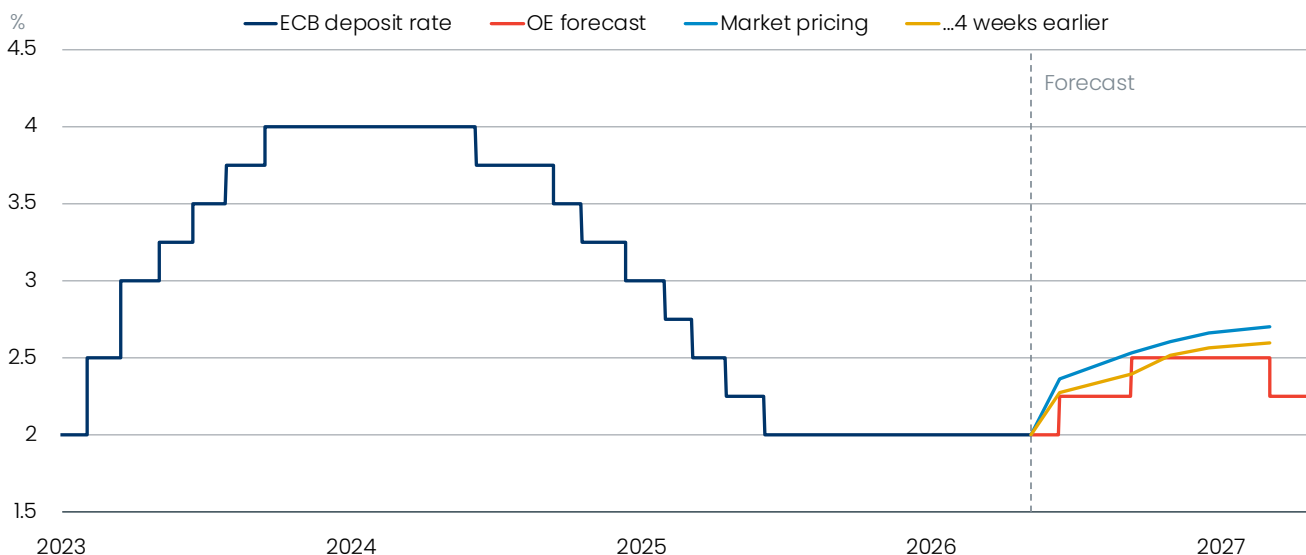
Fiscal policy. Excluding Germany, the rest of the Eurozone is unlikely to see a material boost from fiscal policy. The impact of Germany's stimulus will be felt more clearly from 2027 onwards. The European Commission has announced additional flexibility for member states to support investment in energy resilience, allowing up to 0.6% of GDP over 2026–2028. However, the scope of eligible measures remains unclear and appears likely to focus on investment in grids and renewables rather than broad-based support, such as excise cuts. This could limit the extent to which the flexibility is used.

Monetary policy. The ECB has clearly signalled that it is preparing to act. Hawkish signals from ECB officials, together with comments made at the April meeting and the further rise in inflation in May, have increased the likelihood of a 25bps hike at the June meeting. We continue expect the June hike will be followed by another in July, taking the deposit rate to 2.5% by the end of 2026.

We expect the ECB to remain reactive after the initial hikes. If energy prices normalise and the growth hit becomes more visible, then we'd expect rate cuts in 2027, bringing the deposit rate back to 2%. But risks are tilted toward more tightening if the Middle East conflict proves to be longer than expected or inflation expectations rise further.

Chart 2: We expect two hikes this year, around one fewer than markets

Eurozone: ECB policy rate



Sources: Oxford Economics, Haver Analytics

Key drivers of our short-term forecast

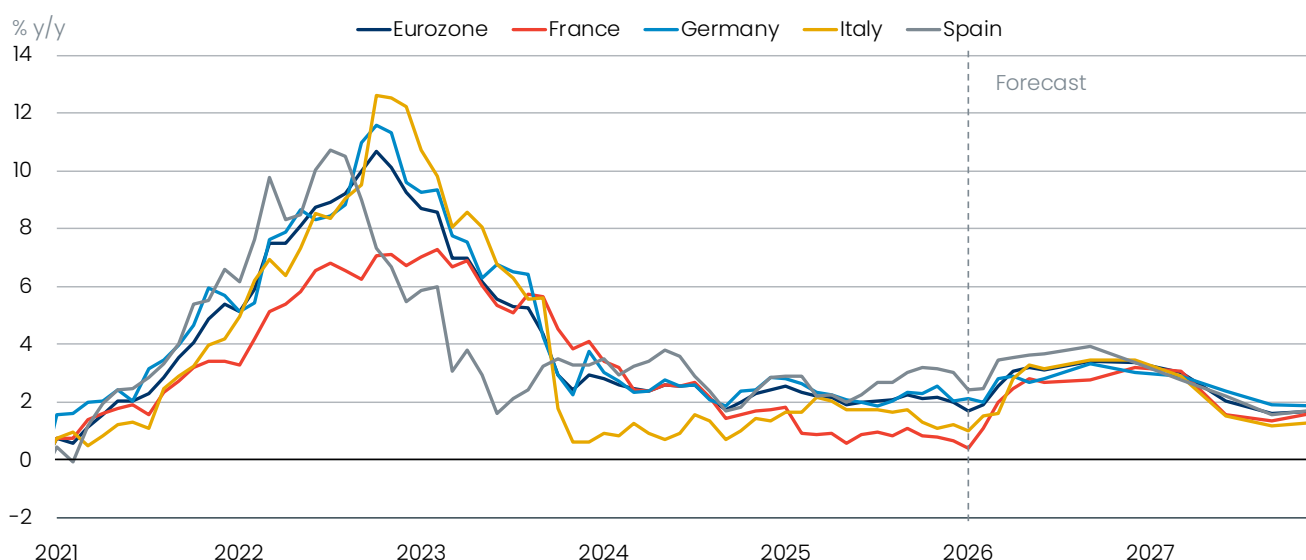
Inflation will remain above 3% for the rest of this year. Headline inflation reached 3% in April and rose further to 3.2% in May, driven by a sharp rise in energy prices. Core inflation eased to 2.2% in April due to the timing of Easter but rebounded to 2.5% in May, led by services inflation rising to 3.5%. We expect upward pressure on headline inflation later this year as higher energy prices feed into food, goods, and services prices. We project inflation will remain above 3% for the rest of this year.

The impact of higher energy prices on consumer spending might linger. The US/Israel-Iran conflict's economic fallout shouldn't curb Eurozone consumer spending much, but what impact there is could [linger](#). We've cut our consumer spending growth forecast to 0.8% for 2026, a view reinforced by the 0.4% m/m fall in retail sales in April. Aside from the hit to purchasing power from higher energy prices, consumption will likely also suffer from weaker household sentiment, more precautionary savings, and higher interest rates. The impact will be uneven, with lower-income households more exposed to energy and food price increases.

Trade will likely be a headwind to GDP growth this year. Trade will remain a drag on growth this year. Exports are expected to be broadly flat, reflecting weak external demand, the lingering impact of US tariffs, the recent intensification of Chinese export competition, and continued losses in global export market share. Imports are also expected to remain subdued, growing by around 1%, consistent with weak domestic demand.

Chart 3: We expect inflation to shoot up this year across all countries, but not to reach the 2022 peak

Eurozone: Harmonised inflation by country

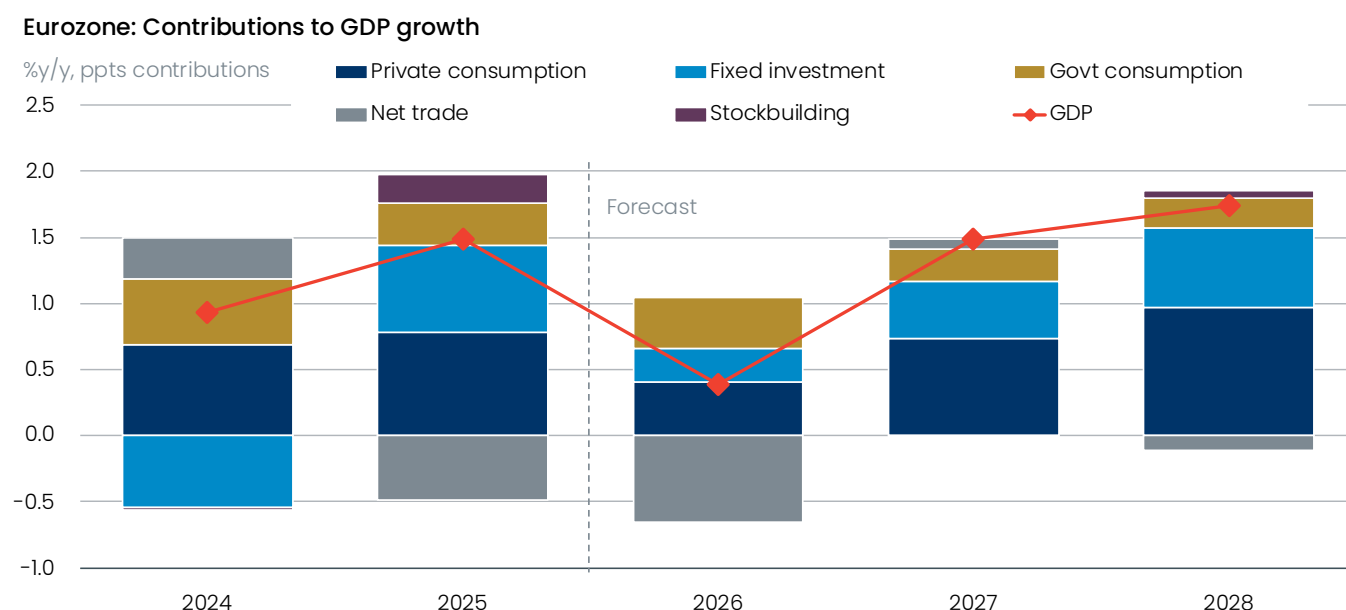


Sources: Oxford Economics, Haver Analytics

Credit will provide limited support. April monetary data showed credit was only marginally supportive. We expect credit conditions to tighten in the coming months as uncertainty, risk aversion, and higher rates weigh on loan demand and supply. This will limit the support from private credit to investment and overall growth. However, we expect Eurozone private business investment to be more [resilient](#) to the effects of the Middle East conflict than the adverse macro backdrop would normally imply. A handful of less-cyclical sectors, including defence, AI-related equipment and software, and policy-driven investment, should help cushion the fallout. Others, such as aircraft and pharmaceuticals, are more insulated from demand conditions.

The AI investment boom is set to bypass Europe. Unlike the US experience of a capex boom driven by tech investment, we don't expect AI to be a significant driver of growth in Europe next year. True, tech companies are quickly ramping up investment in Europe, but the low starting point means that the amounts aren't large enough to add significantly to overall [investment](#) or GDP growth in the region. Europe will still enjoy some of the benefits from increased AI adoption in the form of higher productivity. But these productivity gains will take [years](#) to affect the economy meaningfully.

Chart 4: Growth will materially slow this year



Sources: Oxford Economics, Haver Analytics

What to watch out for

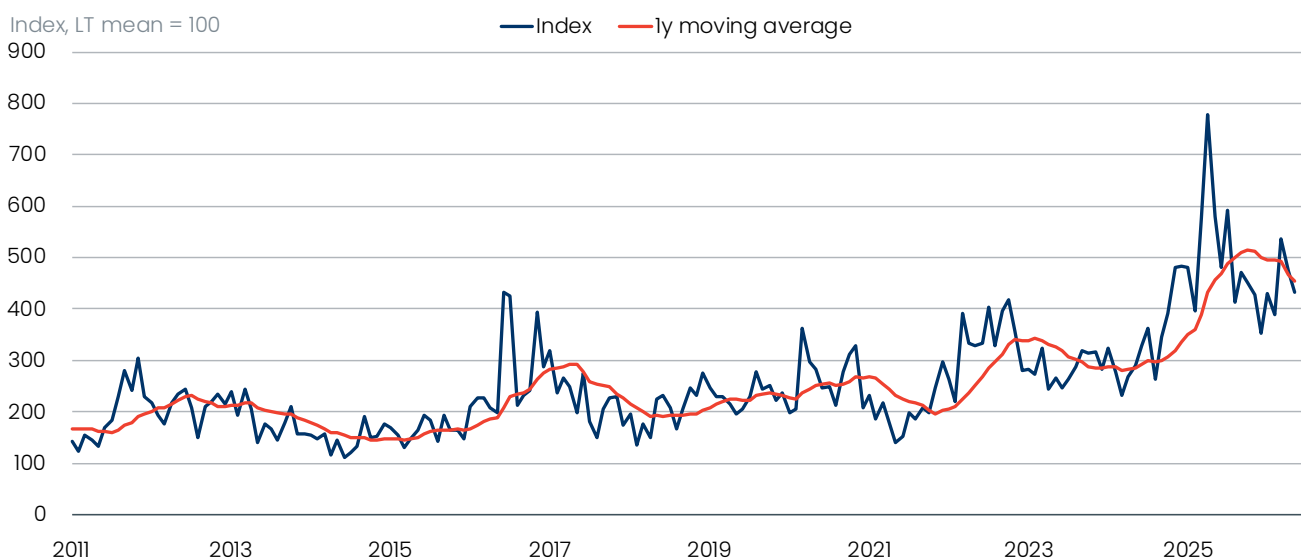
Political risks remain a threat. Recent years have proved that political risks in Europe aren't unusual. Tensions regarding immigration have flared up periodically in some countries, and the far-right appears to be on the rise in many. For example, the AfD received the most votes in the 2025 snap general election in Germany, albeit it remained outside the new government. And, although 2024's legislative elections in France didn't result in a victory for Marine Le Pen's National Rally, it was a close race. In Italy, the 2022 general election resulted in a somewhat populist coalition government led by the far-right Brothers of Italy. Major financial and political tensions aren't included in our baseline, but there's still a risk of conflict between national governments and the EU.

Trade worries. We don't expect the underlying drivers of the EU's diminishing role as a global exporter to disappear soon, and this underpins our below-consensus export and GDP growth forecasts for this year. A host of factors have contributed: China's manufacturing prowess and its ample policy support, adverse exchange rate dynamics, increases in labour and energy costs in Europe, and the impact of rapid technological changes for which the EU is ill-prepared. Moreover, uncertainty related to US tariffs remains relatively high ([Chart 5](#)). For instance, President Donald Trump threatened to impose higher tariffs on US imports of EU autos. As we've [shown](#), the direct GDP impact is likely to be modest and concentrated in a few countries, but the renewed focus on trade policy uncertainty could weigh on investment and sentiment.

Chart 5: The trade agreement with the US hasn't eliminated uncertainty

Eurozone: Economic policy uncertainty

Index, LT mean = 100



Sources: Oxford Economics, Haver Analytics

Demographic factors will negatively affect potential output. Globally, the Eurozone will suffer more than any other region from a decline in labour supply as a consequence of an ageing population. However, although demographics are negative for the bloc, some of its economies are benefitting from immigration. A sustained period of strong inward migration and even higher participation rates could boost long-term trend growth more than we expect.

Long-term prospects

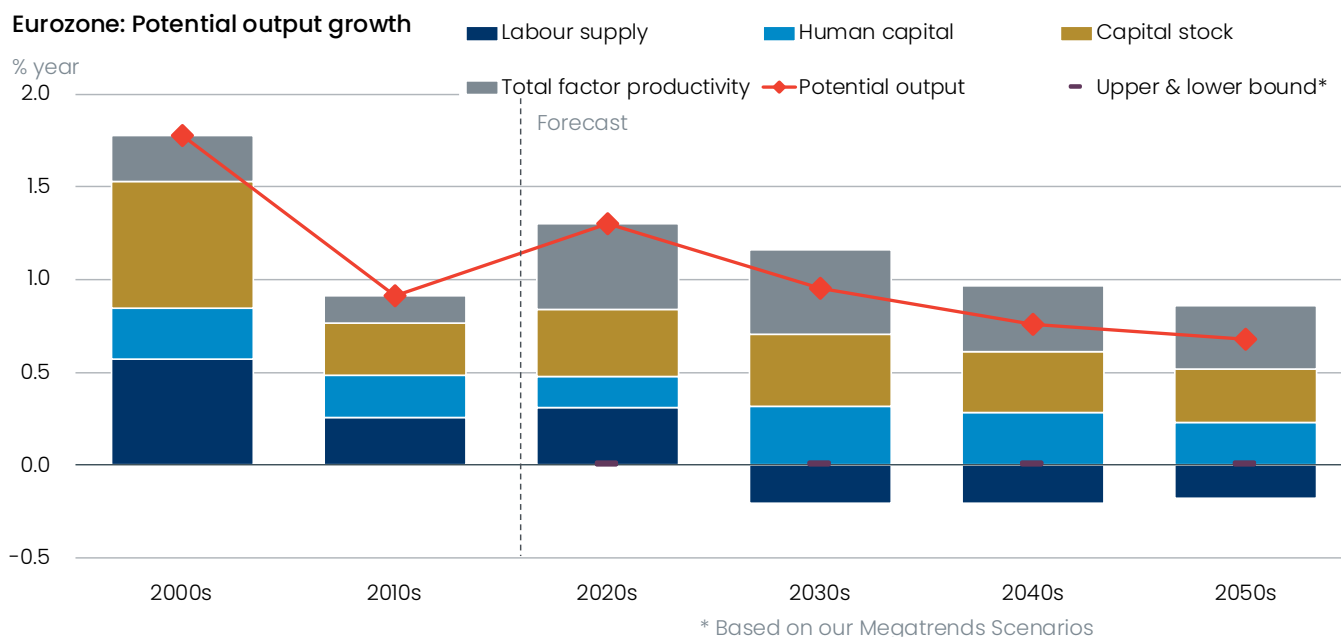
We estimate the Eurozone's potential growth rate over the coming decade at around 1% per year. This rate is slightly stronger than in the previous decade, when growth was hit by several crises that caused potential growth to collapse.

We think the Eurozone will avoid a [lasting](#) hit to potential output from more recent crises due to strong policy responses – a marked improvement over the financial and sovereign debt crises' outcomes. But Europe is headed for a structural growth slowdown and will trail most major advanced economies in the 2020s. Strong fiscal policy and European Central Bank actions stabilised the economy and softened the post-pandemic slump. Meanwhile, the boost to investment and productivity from the EU recovery fund has been [gradual](#). We still doubt major structural reforms will arise from the Next Generation EU economic recovery package.

The accelerated green transition and military spending will boost investment. However, the lift to the capital stock will be offset by lower investment in fossil fuel-based technologies and a higher depreciation rate as stranded assets are written off and investment shifts towards services.

Demographic factors, although not as limiting as expected a few years ago, will constrain growth over the coming decade. Beyond this decade, we expect growth to slow to less than 1% as demographic headwinds mount. The labour force will begin to shrink in the late 2020s and could fall as much as 0.4% per year in the 2030s, contributing to potential output growth halving to around 0.7%-0.8% annually ([Chart 6](#)).

Chart 6: Demographics are constraining potential output



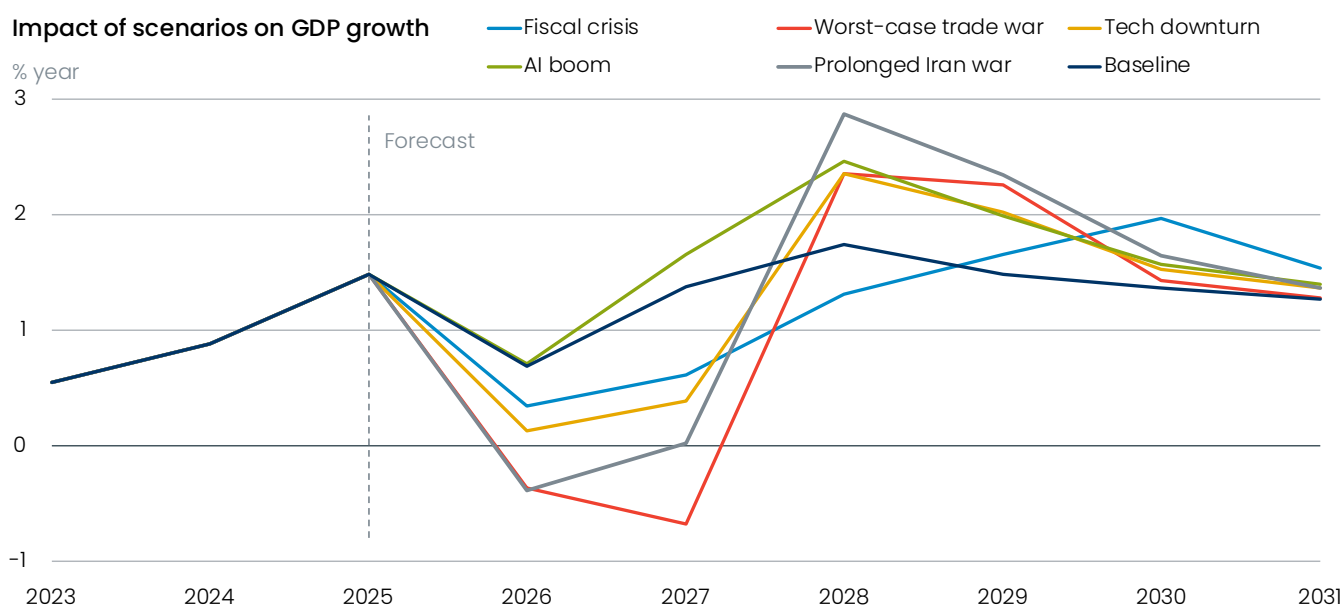
Sources: Oxford Economics, Haver Analytics

Scenarios

Exposure to key global risks

Worst-case trade war. In this scenario, US trade deals prove fragile. The US removes key tariff exemptions and raises import tariffs beyond trade agreement levels. The US effective tariff rate rises to 33%, far above the level in our baseline. Affected economies hit back with corresponding tariffs on US exports. The US economy contracts throughout 2026. The Eurozone economy is also affected, with average growth around 0.8ppts lower per year than our baseline forecast for the next three years.

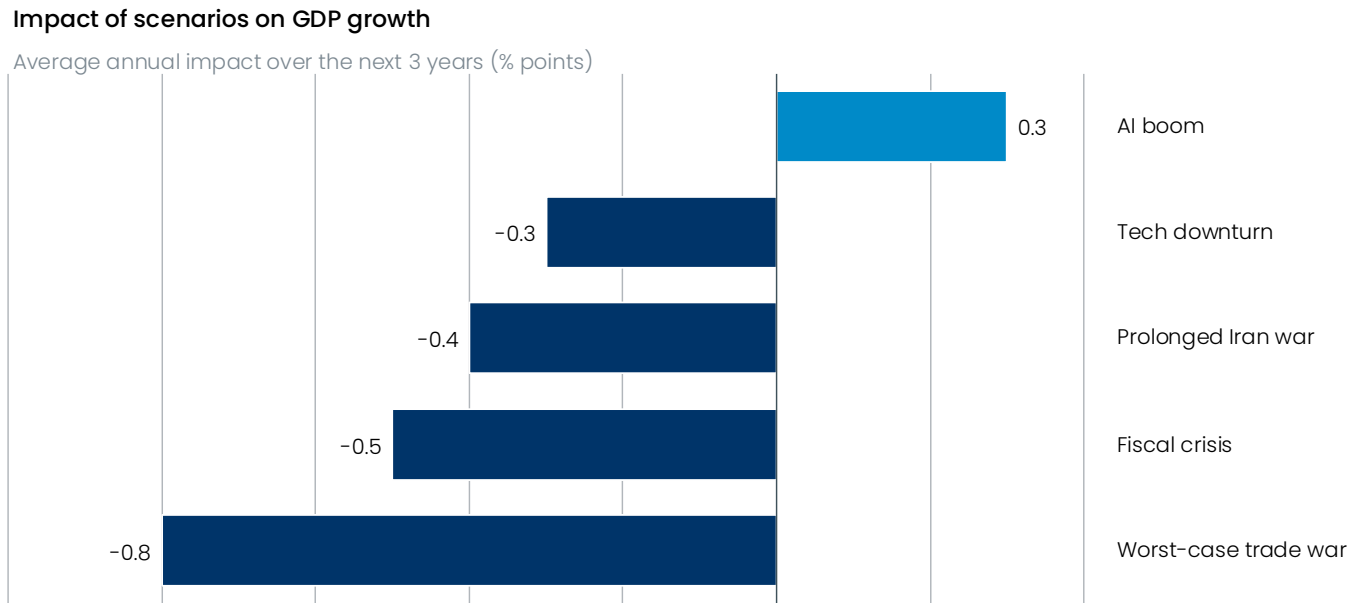
Chart 7: A more severe trade war and a prolonged US/Israel war with Iran are key near-term risks



Source: Oxford Economics

Prolonged US/Israel war with Iran. In this scenario, the war proves more prolonged than in our baseline forecast. A sustained stalemate leads to the Strait of Hormuz remaining effectively closed for six months. Alternative shipping routes also come under threat, while the extended conflict increases damage to energy infrastructure. As a result, energy prices remain elevated for an extended period. Energy shortages damage activity, with some household spending delayed due to energy shortages halting some travel and shipping activity. Supply-chain pressures outside the energy sector result in broader price and cost pressures. While inflation expectations remain relatively well-anchored, investors demand a higher inflation risk premium, causing borrowing costs to rise. In this scenario the Eurozone economy enters a recession in Q2 this year.

Chart 8: Risks are skewed to the downside



Source: Oxford Economics

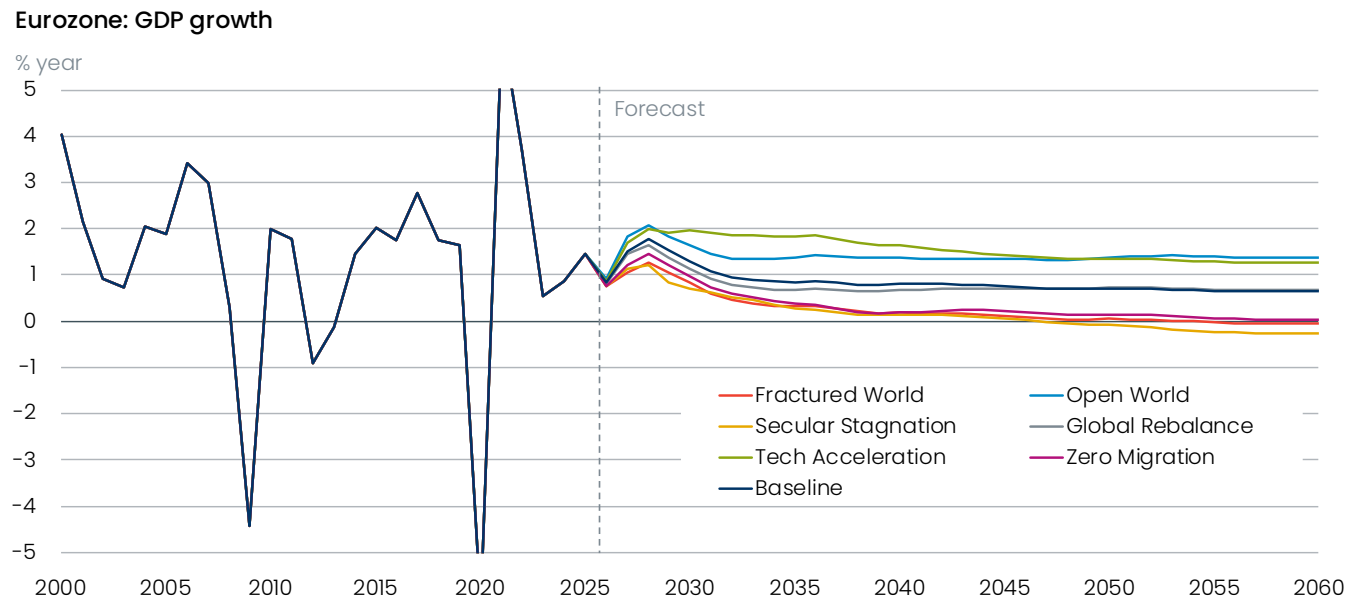
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, mostly advanced economies, benefit first. In this scenario, the Eurozone's potential output growth is broadly double than in our baseline.

Zero migration. Under this scenario, future flows of migration are removed from our baseline to isolate how migration contributes to growth, incomes, fiscal stability, and inflation across both destination and origin economies. In this scenario, the Eurozone's potential output growth is broadly flat, as Eurozone economies are among the hardest hit advanced economies.

Chart 9: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics